LENDING EXPANSION STRATEGY FOR AN NBFC IN CLIMATE-VOLATILE INDIA

IDENTIFICATION OF CREDIT-DEFICIENT REGIONS FOR EXPANSION

To expand responsibly while maintaining asset quality, the NBFC should target regions with strong agricultural productivity but low institutional credit penetration. Two such regions are Eastern Uttar Pradesh & Bihar and the North-East region (Assam and Meghalaya).

EASTERN UTTAR PRADESH & BIHAR

Eastern UP and Bihar together represent one of India's largest agricultural belts but remain significantly underbanked in terms of formal credit access.

AGRICULTURAL POTENTIAL

- Major producers of rice, wheat, maize, sugarcane, and pulses.
- Fertile Gangetic alluvial soil with high groundwater availability.
- Strong growth potential in horticulture and dairy farming.

FARMER DEMOGRAPHICS

- Dominated by small and marginal farmers (over 85%).
- Average landholding sizes are small, which limits access to formal bank loans.
- Many farmers rely on informal lenders charging 24–36% interest.

UNMET CREDIT DEMAND

- Despite strong agricultural output, institutional credit penetration is significantly lower compared to southern states.
- Large population of Kisan Credit Card (KCC) holders who are underutilizing limits or lack additional financing options.

WHY THIS REGION ?

- High agricultural productivity.
- Massive borrower base.
- Opportunity to replace high-cost informal lending.

NORTH-EAST INDIA (ASSAM & MEGHALAYA)

The North-East receives only about 1% of institutional agricultural credit, despite strong agricultural diversification potential.

AGRICULTURAL POTENTIAL

- High potential in tea, bamboo, spices, horticulture, rubber, and fisheries.
- Assam is the largest tea producer in India.
- Favorable climate for high-value crops like ginger, turmeric, and fruits.

FARMER DEMOGRAPHICS

- Large number of tribal farmers and smallholder cultivators.
- Limited penetration of commercial banks due to geographical and infrastructural constraints.

UNMET CREDIT DEMAND

- Farmers rely on cooperatives or informal lenders.
- Lack of tailored financial products for specialty crops and plantation cycles.

WHY THIS REGION ?

- Massive credit gap.
- High-value crop potential.
- Limited competition from large lenders.

CREDIT ASSESSMENT &LOAN PRODUCT STRUCTURE

INTEGRATED CREDIT RISK MODEL

1. FARMER CREDIT BEHAVIOUR (KCC DATA)

Data extracted from KCC accounts:

- Loan utilization patterns
- Repayment history
- Overdraft frequency
- Crop financing cycles

This allows the NBFC to evaluate credit discipline and repayment reliability.

2. CLIMATE RISK INDICATORS

Climate risk scoring can be built using:

- Satellite rainfall data
- Heatwave frequency
- Soil moisture data
- Historical crop yield volatility

Risk Category	Climate Stability
Low Risk	Stable rainfall patterns
Medium Risk	Moderate weather volatility
High Risk	Frequent droughts/floods

3. CROP & INCOME DIVERSIFICATION SCORE

Farmers cultivating multiple crops or combining crop + livestock income receive better credit scores because diversified income reduces default risk.

Loan Product Structure

The NBFC can introduce a Climate-Smart Agri Credit Line.

Feature	Structure
Average Ticket Size	₹40,000 – ₹75,000
Tenure	6–12 months aligned with crop cycles
Repayment	Bullet repayment post harvest
Dynamic Limit	Increased after successful repayment

OPERATIONAL STRATEGY TO REDUCE COST OF SERVICING SMALL LOANS

1. DIGITAL FARMER ONBOARDING

Use Aadhaar-based eKYC and mobile applications to onboard farmers quickly.

Benefits:

- Reduces branch visits
- Cuts onboarding costs
- Faster loan disbursement

2. AGRI-PLATFORM PARTNERSHIPS

These entities act as loan sourcing partners, reducing customer acquisition cost.

Partner with:

- Agri input retailers
- Farmer Producer Organizations (FPOs)
- Agri marketplaces

To Small ticket loans (avg. ₹48,000) can become expensive if handled through traditional branch networks. The NBFC should adopt a digital-first operating model.

3. EMBEDDED LENDING VIA AGRI SUPPLY CHAINS

Loan repayment can be linked to crop sale proceeds, reducing default probability.

Loans can be disbursed through:

- Fertilizer dealers
- Seed distributors
- Agri equipment suppliers

4. USE OF AI-BASED MONITORING

This reduces the need for costly physical field inspections.

Satellite imagery and remote sensing tools can monitor:

- Crop health
- Acreage planted
- Yield estimation

STRATEGY TO MAINTAIN NPAS BELOW 6.5%

The North-East receives only about 1% of institutional agricultural credit, despite strong agricultural diversification potential.

GEOGRAPHIC DIVERSIFICATION

Instead of concentrating lending in a few states, the NBFC spreads exposure across:

- Eastern India
- North-East India
- Select districts in Central India

This reduces climate-shock concentration risk.

EXPECTED OUTCOME

Metric	Expected Impact
Credit penetration	Expansion into underserved regions
Operational cost	Reduced by 30–40% via digital model
NPA ratio	Maintained below 6%
Farmer income	Improved through formal credit access

CROP DIVERSIFICATION LENDING

The NBFC can restructure loans early before defaults occur.

Real-time alerts triggered by:

- Rainfall deficit
- Pest outbreaks
- Crop stress detected via satellite

EARLY WARNING RISK MONITORING

This reduces dependency on a single harvest.

Encouraging financing for diversified crop portfolios such as:

- Rice + vegetables
- Tea + spices
- Dairy + crop farming

By targeting Eastern India and the North-East, integrating KCC data with climate analytics, and deploying a digital-first lending infrastructure, the NBFC can successfully expand its agricultural loan portfolio while maintaining asset quality below the sector average. This strategy enables both financial inclusion and sustainable lending growth in climate-vulnerable rural markets.

INSURANCE INTEGRATION

Weather-index insurance and crop insurance reduce loss exposure.

In case of severe weather events:

- Insurance payouts support repayment capacity
- NBFC exposure declines